

QA LEADERSHIP ACADEMY

Automation ROI Worksheet

Build a transparent, estimate-based business case for automation that a finance-literate executive will trust.

Purpose

This worksheet helps you build and present the return on an automation investment using your own transparent estimates. Its discipline is honesty: every figure is labelled as an illustrative estimate, the assumptions are visible, and the payback period is derived, not asserted. It is a way to have a credible ROI conversation without pretending you have precision you do not.

EVERYTHING HERE IS AN ESTIMATE

Every number in this worksheet is an illustrative figure you supply from your own context. None of it is a cited statistic or an industry benchmark. Label it that way when you present it — credibility comes from showing your working, not from borrowed numbers.

When to use it

- When requesting time, tooling budget or headcount for automation and expecting to be challenged on cost.
- When you need to compare investing in automation against continuing a manual regression pass.
- When an executive has asked "what is the return?" and you want to answer with a transparent model rather than a slogan.

Instructions

1. Fill in your own inputs — never copy the example numbers. Mark each clearly as an estimate.
2. Calculate the recurring manual cost you are trying to reduce (frequency × effort × loaded hourly rate).
3. Estimate the one-off build cost and the ongoing maintenance cost of the automation.
4. Derive net annual saving and a payback period from your figures — show the arithmetic.
5. State the assumptions and a sensitivity note (what happens if the build takes 50% longer, or the suite is only 70% reliable).

Worked example

Illustrative only — these are made-up figures chosen to demonstrate the method, using Northstar's ~5-day manual regression as the target. Do not treat any number below as a fact or benchmark; substitute your own.

Input (all ESTIMATED)	Illustrative value	Note
Manual regression effort per release	5 days × 3 testers = 15 person-days	Northstar's stated ~5-day pass, assumed 3 testers
Releases per year requiring full regression	10	Estimate — assumption, adjust to your cadence
Loaded cost per tester-day	£300	Illustrative placeholder rate — use your finance team's figure
Annual manual regression cost	$15 \times 10 \times £300 = £45,000$	Derived from the estimates above
Share of regression automatable (realistic)	60%	Estimate — not 100%; exploratory work remains
Recurring manual cost addressable	$£45,000 \times 60\% = £27,000$	Derived
One-off automation build cost	$40 \text{ person-days} \times £300 = £12,000$	Illustrative build estimate
Annual maintenance cost	£4,000	Estimate — assume ~15% of build, ongoing
Estimated net annual saving	$£27,000 - £4,000 = £23,000$	Derived, illustrative
Estimated payback period	$£12,000 \div £23,000 \approx 0.5 \text{ year}$	Derived, illustrative

Sensitivity note (also illustrative): if the build overruns by 50% (£18,000) and automation only reliably covers 40% rather than 60%, the net annual saving falls to roughly £14,000 and payback stretches to a bit over a year. Showing both cases is what makes the model trustworthy — it demonstrates you have not cherry-picked the optimistic figure.

The non-financial return matters too and should be stated qualitatively, not disguised as a number: faster feedback, a shorter release cycle, reduced key-person risk on the suite, and lower stress on the regression weekend.

Blank reusable version

Input (label each as ESTIMATED)	Your value	Note / assumption
Manual effort per cycle		
Cycles per year		
Loaded cost per person-day		
Annual manual cost (derived)		
Share realistically automatable		
Addressable recurring cost (derived)		
One-off build cost		
Annual maintenance cost		

Input (label each as ESTIMATED)	Your value	Note / assumption
Net annual saving (derived)		
Payback period (derived)		
Sensitivity case (pessimistic)		
Non-financial benefits (qualitative)		

Common mistakes

COMMON MISTAKES

Presenting estimates as facts or dressing them up as industry statistics; assuming 100% of manual effort is automatable; ignoring maintenance cost so the suite looks free after build; hiding assumptions so the model cannot be challenged (which destroys trust when it is); and reducing the whole case to money while ignoring faster feedback and reduced key-person risk.

How to interpret the results

- A payback period is a decision aid, not a promise; present a range from your sensitivity case, not a single figure.
- If the case only works at optimistic inputs, that is itself the finding — the investment is marginal, so scope it smaller.
- A short payback with a large maintenance line is fragile; the ongoing cost, not the build, is what erodes the return.
- Pair the financial number with the qualitative benefits; executives fund confidence and speed as much as cost saving.

INSIDE STLC PRO TIP

The fastest way to lose an executive is to quote a precise ROI you cannot defend. The fastest way to win one is to say "these are my estimates, here are my assumptions, and here is the pessimistic case too". Transparency reads as competence — borrowed statistics read as a sales pitch.